

Skeena Resources

Increasing target price to C\$6.52/sh on inclusion of Resource update in Eskay Creek mine plan

Skeena Resources (SKE) announced an updated Mineral Resource Estimate for Eskay Creek on 7th April (see [H&P note](#)), more than doubling Measured and Indicated Resources to 5.27Moz at 4.3 g/t AuEq following two successful phases of infill drilling. We view this as the first major step in a busy 2021. SKE will conduct geotechnical drilling and metallurgical sampling in Q2 2021 as well as further exploration activities, expecting to advance Eskay Creek to full Feasibility by early 2022, alongside various permitting milestones in the coming months. Based on the current PFS and DFS timelines, we expect first production from Eskay Creek in 2024. This week SKE announced positive intercepts of up to ~46g/t Au from recent drilling at the Snip project, highlighting its future potential as a satellite source of high-grade feed to Eskay Creek, ~40km to the east. We also note that on 15th April 2021, SKE participated in a private placement financing by QuestEx Gold & Copper (CVE:QEX), acquiring 5.5m shares (a 14% stake) for ~C\$4.6m, with a seat on the Board. Adjusting our DCF-based sum-of-the-parts for the updated Resource, latest share count and Q4'20 MD&A filing, we increase our target for SKE by 23% to C\$6.52/sh, implying 77% upside from the current price.

Our updated DCF Model incorporates updated Resource

SKE's Mineral Resource update highlighted a 186% increase in Measured and Indicated ore tonnage. We have incorporated the updated Resource into our DCF model. A Preliminary Economic Assessment (PEA) was completed in November 2019 which acts as the basis for our capital and operating costs, production rates, metal recoveries and payabilities. The result is an 8-year extension to our modelled project mine-life to 16.5 years, and a 1.86 Moz AuEq increase in LoM production. Based on our assumed US\$1,950/oz long-term gold price and a 5% WACC, our Dec'21 NPV for Eskay Creek increases to ~US\$1.89bn, from US\$1.45bn previously. The success of the infill drilling program supports Skeena's ongoing feasibility workstreams at Eskay Creek, with preliminary geotechnical drilling and metallurgical sampling expected this quarter, the publication of a PFS in Q3 and a full Feasibility Study by Q1'22.

Snip exploration continuing to intersect high-grade mineralisation

Recent drill results from the Snip gold project in British Columbia continue to impress, with 45.76 g/t Au over 5.6m. The exploration program should expand the current resource and delineate additional mineralised zones. Such zones have been intersected below the Twin Zone as high-grade, vein-hosted mineralisation and a discovery, 250m down-dip of existing resources suggest the potential for a much larger system in previously undrilled areas. We also note the acquisition of a 14% stake in QuestEx in its recent placing gives SKE an interest in several prospective land packages, including licences in the Red Chris district adjacent to the Saddle Creek project (recently acquired by Newmont from GT Gold for US\$311m), as well as potentially strategically important ground between Snip and Eskay Creek.

Target price – C\$6.42/sh implying 74% upside

Our SKE valuation is based on Measured and Indicated mineral inventories, a flat gold price of US\$1,950/oz and a silver price of US\$25/oz. In addition to our US\$1.89bn DCF of the Eskay Creek project, to which we apply a 0.7x multiple to reflect its pre-feasibility status, we assign a C\$12.9m value to Snip. After adjusting for cash, G&A and study & exploration costs, our updated risked valuation for SKE is US\$1.27bn, up from US\$0.97bn. After accounting for a slightly stronger CAD/USD assumption of C\$1.25/US\$ (vs C\$1.28/US\$ previously) and C\$21.6m proceeds from a private placement in March, our fully diluted target price increases 23% to C\$6.52/sh from C\$5.32/sh. Our valuation continues to be based on a throughput capacity of 2.5Mtpa as envisaged in the 2019 PEA, although we see scope for this to be increased in the upcoming FS, further bolstering the economics of the project. We therefore remain positive on the outlook for SKE shares, with multiple upcoming catalysts in the next 12 months as permitting falls into place and positive Feasibility Studies are completed.

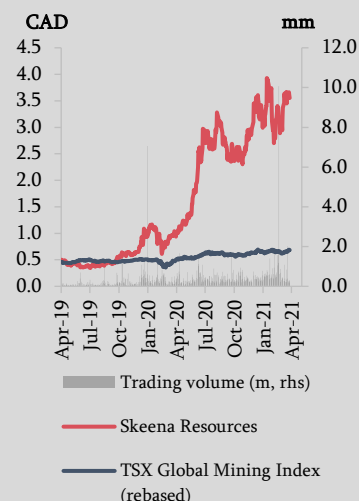
GICS Sector	Materials
Ticker	TSX : SKE
Market cap (C\$m, 28 Apr 21)	788
Share price (C\$, 28 Apr 21)	3.69
Target price (C\$, 31 Dec 21)	6.52

77%

Upside from current share price to C\$6.42/sh target price

5.3Moz @ 4.3g/t

Revised Eskay Creek M&I Resource estimate, >2x prior Indicated Resource



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Successful infill drilling programmes upgrade resource categories and add tonnage

SKE has completed ~105 km of drilling (751 holes) between 2018-2021, adding to the historical ~651 km. Phase 1 and 2 infill drilling programmes have allowed the company to recategorise pit constrained resources. Ounces in the Inferred category have dropped from 1.42Moz AuEq to 241koz and additional resources have been added in several zones. The result is a 186% increase on a tonnage weighted basis in Measured and Indicated resources. With over 40% of the current pit constrained resources as Measured, a substantial percentage will ultimately convert to Proven Reserves upon completion of a successful Feasibility Study.

We make a working assumption that Measured and Indicated material will ultimately be converted to Reserves and apply a 98% mining recovery and 10% dilution, down from 20% dilution in the PEA, to reflect the reduction of the buffer zone surrounding historic mine workings (from 1.0m to 0.2m). We exclude the Inferred material and underground Resources, where there remains significant upside potential. Snip could also supplement the operation as a satellite pit which could supply Eskay Creek with “cleaner”, high grade ore.

Rapid movement towards first production in 2024

We view the updated Resource estimate as a significant step towards production, with advancement of the permitting process alongside the completion of the PFS expected around mid-year, commencement of a DFS this summer and completion of feasibility by early 2022. As a result we believe Eskay Creek is likely to be moved towards production in 2024, initially as an open pit operation.

As a brownfield site, Eskay Creek should hold a key advantage in permitting in our view as permissions already exist for mine discharge and waste disposal. Additionally, Skeena has already completed several environmental studies and monitoring has been maintained since the initial closure in 2008. Investment by the Tahltan Central Government in April 2021, whose territory covers the Golden Triangle, is another milestone achieved towards permitting.

Acceleration of exploration program prior to DFS could add yet further ounces

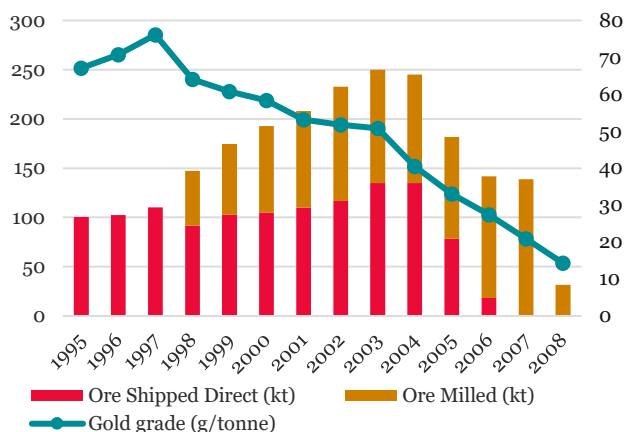
Following the successful completion of infill drilling programmes the company has initiated a property scale exploration programme, designed to define additional mineralisation. Dr. Harold Gibson, a leading VMS system expert, has been drafted in to assist the program and rank targets. This will allow the company to add additional near surface bulk mineralisation to the current resource base and supplement the mine plan prior to full Feasibility by early 2022. This bodes well, in our view, for the eventual reported economics of the project on completion of the DFS.

C\$6.52/sh target with Resource upgrade incorporated

The significant increase in M&I Resource announced on 7th April offers the potential, in our view, to further upscale the design of the plant within the upcoming DFS, as compared with the 2.5Mtpa throughput conceptualised in the 2019 PEA. Our DCF for Eskay Creek has moved upwards upon inclusion of the new Resource Estimate in our model. Based on the timelines for the PFS and DFS, we expect first production from Eskay Creek to be in FY 2024. The new Resource Estimate, partially offset by a strengthening in our CAD/USD exchange rate assumption to C\$1.25/US\$ from C\$1.28/US\$ and an increase in sharecount following a C\$21.6m private placement in March, has boosted our SOTP by C\$1.20/sh to C\$6.52/sh, +77% from the current share price.

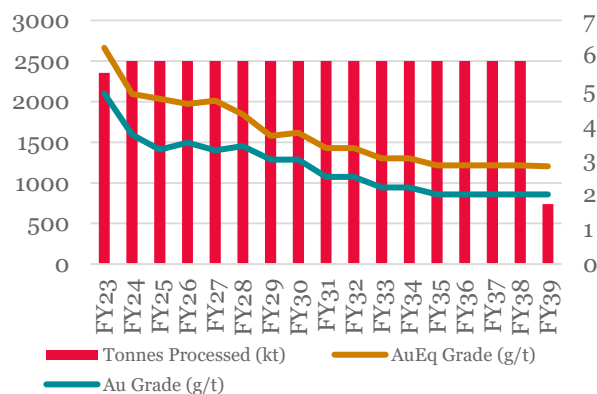
Eskay Creek – Key Charts

Eskay Creek historical u/g mine enjoyed phenomenal grades: throughput (kt, left) vs grade (g/t, right)



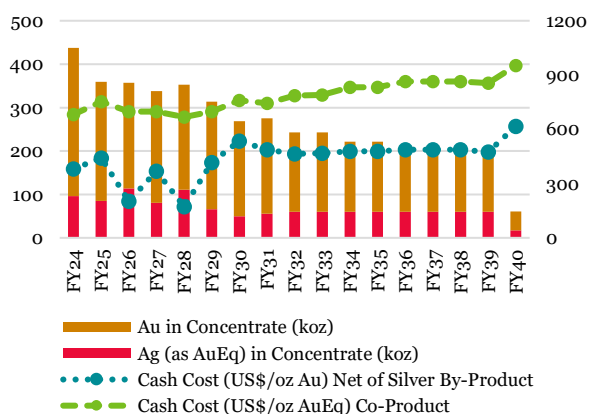
Source: Barrick Gold, Homestake Mining, Company reports.

Skeena's plan is significantly larger at 2.5Mtpa throughput & grades are amongst highest for an open-pit in N America



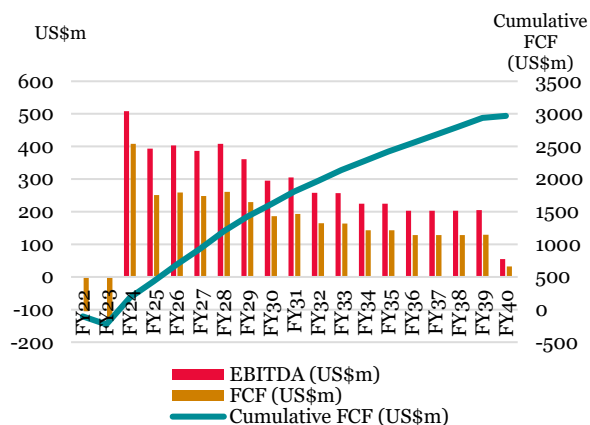
Source: Company reports, H&P estimates

Eskay Creek concentrate contained gold & silver (koz, left) and cash costs (US\$/oz, right)



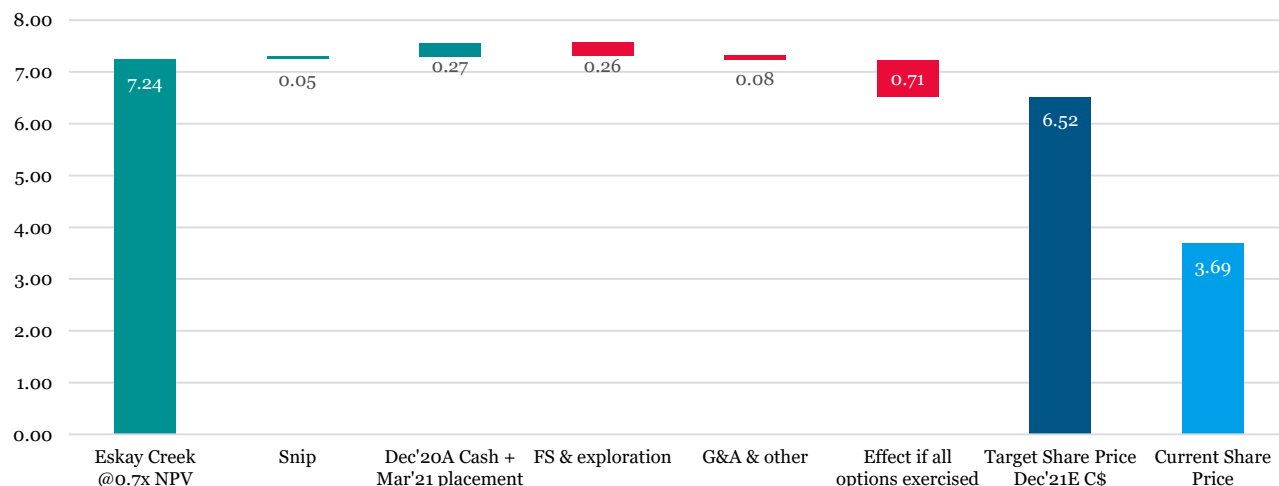
Source: Company reports, H&P estimates

H&Pe Eskay Creek EBITDA & FCF (left) & cumulative FCF (right) – strong initial grades drive short payback



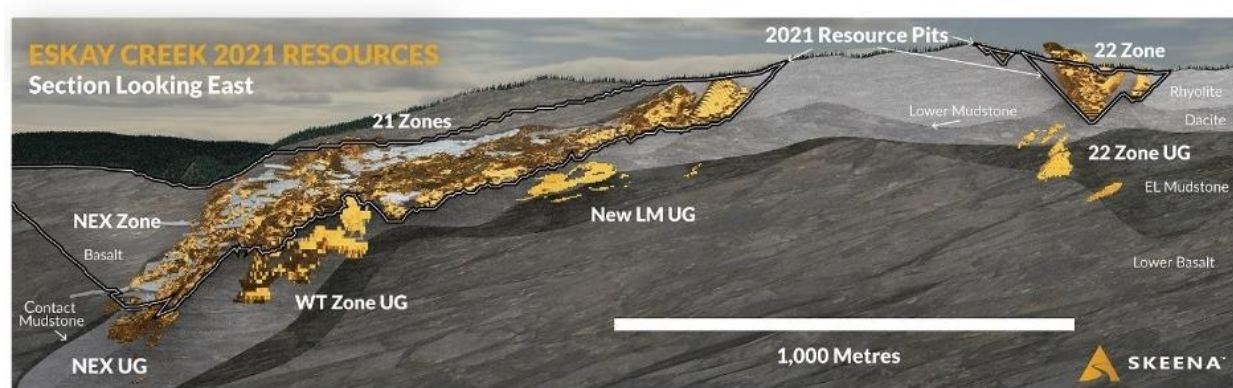
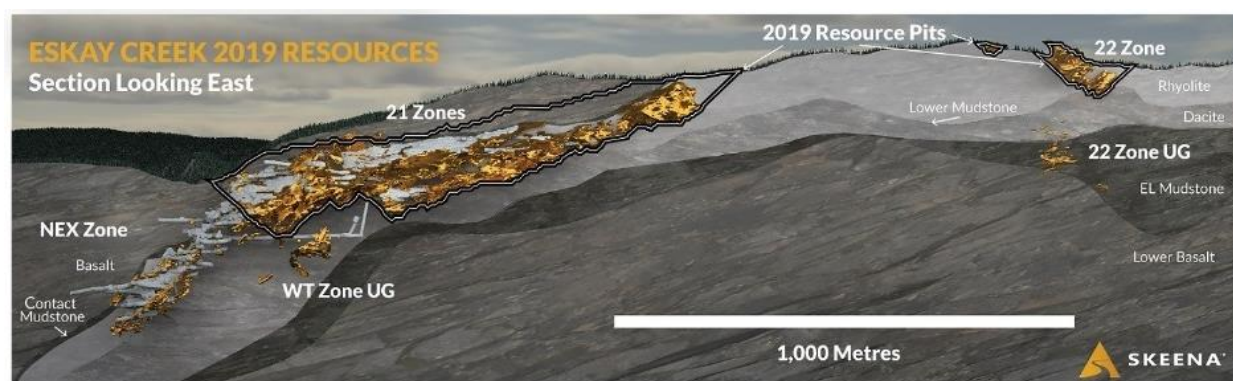
Source: Company reports, H&P estimates

Eskay Creek's risked NPV provides huge potential per-share upside for Skeena with Dec'21 TP:C\$7.16



Source: Company reports, H&P estimates

Eskay Creek updated pit design following successful MRE



Skeena - summary of Resource base update			Grade (g/t)			Contained metal (koz)		
Project	Category	Ore (kt)	Au	Ag	AuEq	Au	Ag	AuEq
Eskay Creek - OP	Measured	17,312	4.2	118.4	5.8	2,322	65,908	3,213
	Indicated	20,342	2.2	52.5	2.9	1,439	34,362	1,903
	Inferred	5,239	1.0	25.0	1.4	174	4,203	231
Eskay Creek - UG	Measured	345	5.2	67.3	6.1	58	747	68
	Indicated	506	4.9	35.8	5.3	79	583	87
	Inferred	429	4.1	57.0	4.9	57	787	67
Snip	Indicated	539	14.00	0.00	14.00	244	0	244
	Inferred	942	13.30	0.00	13.30	402	0	402
Total/average	Measured	17,657	4.22	117.4	5.81	2,380	66,655	3,281
	Indicated	21,387	2.27	52.09	2.96	1,762	34,945	2,234
	Inferred	6,610	2.95	27.42	3.32	633	4,990	700

Source: Skeena Resources

Financial Statements Summary

Income statement						
Year end December		2020	2021E	2022E	2023E	2024E
Revenue	C\$m	-	-	-	-	762.8
Cost of Sales	C\$m	-	-	-	-	(121.5)
Depreciation	C\$m	(0.4)	-	-	-	(35.1)
Gross profit/(loss)	C\$m	-	-	-	-	641.3
Total operating costs	C\$m	(80.0)	(55.9)	(5.9)	(5.9)	(50.6)
Operating profit/(loss)	C\$m	(80.0)	(55.9)	(5.9)	(5.9)	590.7
Interest income	C\$m	0.4	0.3	0.0	0.0	3.1
Finance Costs	C\$m	-	-	-	-	-
FX gains/losses	C\$m	(0.0)	-	-	-	-
Other gains/(losses)	C\$m	19.3	-	-	-	-
Profit/(Loss) before tax	C\$m	(60.3)	(55.6)	(5.9)	(5.9)	593.8
Income tax (expense) / benefit	C\$m	-	-	-	-	(207.4)
Net profit/(loss)	C\$m	(60.3)	(55.6)	(5.9)	(5.9)	386.4
EBITDA	C\$m	(80.0)	-	-	-	627.0

Cash flow statement						
Year end December		2020	2021E	2022E	2023E	2024E
Profit/(loss) before tax	C\$m	(60.3)	(55.6)	(5.9)	(5.9)	593.8
Depreciation & amortisation	C\$m	0.6	-	-	-	35.1
Working capital change (increase)/decrease	C\$m	7.6	(4.9)	(4.3)	(3.0)	(67.0)
Tax (paid)/received	C\$m	-	-	-	-	(112.5)
Other non-cash expenditures	C\$m	(14.3)	0.0	0.0	-	-
CFO	C\$m	(66.4)	(60.5)	(10.2)	(8.9)	449.5
Additions to PPE	C\$m	7.5	-	(149.6)	(163.5)	(5.0)
Other	C\$m	(6.9)	(1.3)	(0.0)	(0.0)	(0.0)
CFI	C\$m	0.6	(1.3)	(149.6)	(163.6)	(5.0)
Minimum debt repayments	C\$m	-	-	-	-	-
Other movement in net debt	C\$m	-	-	-	-	-
New equity issued	C\$m	90.5	21.6	-	-	-
Other	C\$m	-	5.0	160.0	170.0	-
CFF	C\$m	90.5	26.6	160.0	170.0	-
Net change in cash	C\$m	24.6	(35.2)	0.2	(2.4)	444.5
FX impact on cash & equivalents	C\$m	-	-	-	-	-
Beginning cash & equivalents	C\$m	13.1	37.7	2.5	2.7	0.2
Ending cash & equivalents	C\$m	37.7	2.5	2.7	0.2	444.7

Balance sheet						
Year end December		2020	2021E	2022E	2023E	2024E
Cash	C\$m	37.8	2.5	2.7	0.2	444.7
Receivables	C\$m	2.8	2.2	2.2	2.2	62.5
Inventory	C\$m	-	-	-	-	10.0
Other	C\$m	1.1	0.6	0.8	0.8	0.7
Current Assets	C\$m	41.7	5.3	5.7	3.3	517.9
PPE	C\$m	15.4	15.4	165.0	328.5	298.4
Other	C\$m	80.8	80.8	80.8	80.8	80.8
Non Current Assets	C\$m	96.1	96.1	245.7	409.3	379.2
Payables	C\$m	19.8	13.8	9.7	6.8	10.0
Short Term Debt	C\$m	-	-	-	-	-
Other	C\$m	2.7	2.6	1.4	1.4	1.4
Current Liabilities	C\$m	22.4	16.5	11.0	8.1	11.3
Long term debt	C\$m	-	-	-	-	-
Other	C\$m	6.5	5.1	6.4	6.3	101.2
Non Current Liabilities	C\$m	6.5	5.1	6.4	6.3	101.2
Total Equity	C\$m	109.0	79.9	74.0	68.1	454.5
Other	C\$m	-	-	160.0	330.0	330.0

Source: Company reports, H&P estimates.

Operations and Valuations Summary

Ratios & other key items							
Year end December		2020	2021E	2022E	2023E	2024E	
Yr end shares issued	m	222.4	222.4	222.4	222.4	222.4	222.4
Revenue Growth	%	NA	NA	NA	NA	NA	NA
EBITDA margin	%	NA	NA	NA	NA	NA	82%
EBIT margin	%	NA	NA	NA	NA	NA	78%
Net cash/(debt)	C\$m	37.8	2.5	(157.3)	(329.8)		114.7
Net debt/equity	%	-35%	-3%	213%	484%		-25%
FCF	C\$m	(72.3)	(5.9)	(153.9)	(166.5)		360.7
FCF/share	C\$m/sh	(0.3)	(0.0)	(0.7)	(0.7)		1.6
Capital employed	C\$m	115.42	85.01	80.37	74.43		555.75
EPS	C\$m	(27.12)	(25.02)	(2.65)	(2.66)		173.75
ROCE	%	-69%	-66%	-7%	-8%		106%
ROE	%	-55%	-70%	-8%	-9%		85%
EV/EBITDA	x	NA	NA	NA	NA		1.1
EV/Sales	x	NA	NA	NA	NA		0.9

Production volumes							
Year end December		2020	2021E	2022E	2023E	2024E	
Gold contained in concentrate	koz	-	-	-	-	-	341
Silver contained in concentrate	koz	-	-	-	-	-	7,507
Gold equivalent contained in concentrate	koz	-	-	-	-	-	437
Payable gold in concentrate	koz	-	-	-	-	-	324
Payable silver in concentrate	koz	-	-	-	-	-	6,006
Payable gold equivalent in concentrate	koz	-	-	-	-	-	401

Gold and Silver Price Assumptions							
Year end December		2020	2021E	2022E	2023E	2024E	
Gold Price	US\$/oz	1,789	1,950	1,950	1,950		1,950
Silver Price	US\$/tonne	16	25	25	25		25

Cash Costs							
Year end December		2020	2021E	2022E	2023E	2024E	
Cash costs/t Au product	US\$/oz	-	-	-	-	-	402
Total Cash Cost	US\$m	-	-	-	-	-	281
Cost of sales (P&L)	C\$m	-	-	-	-	-	(122)

Reserves & Resources (gold equivalent)			
	Eskay Creek	Snip	Total
Reserves: (P,P)	koz	-	-
Resources (M&I)	koz	1,990	2,234
Resources: (Inferred)	koz	298	402

Market cap, net debt & enterprise value							
Year end December		2020	2021E	2022E	2023E	2024E	
Market Cap (Yr end)	C\$m	820.7	820.7	820.7	820.7	820.7	820.7
Net Cash/(Debt)	C\$m	37.8	2.5	(157.3)	(329.8)		114.7
EV	C\$m	782.9	818.2	978.0	1,150.4		706.0

Valuation/ Price Target Derivation - Dec'20E				
Year end December		Value	Target Multiple	Target Value
Eskay Creek	C\$m	2,301.8	0.7	1,611.2
Snip	C\$m	12.1	1.0	12.1
Cash at Dec' 20A plus Mar'21 placement	C\$m	59.4		59.4
2021E study & exploration costs	C\$m	(56.9)		(56.9)
Environmental bond	C\$m	(5.2)		(5.2)
G&A	C\$m	(12.3)		(12.3)
Total Value	C\$m	2,298.9		1,608.4
Shares out - undiluted	m	222.4		222.4
NPV / Target Price per share - undiluted	C\$ cents	1034		723
Cash inflow from options & warrants if exercised	C\$m	56.0		56.0
Shares issued if options & warrants exercised	m	32.8		32.8
NPV / Target Price per share - diluted	C\$ cents	923		652
Current share price	C\$ cents			369
Upside/downside from current share price	%			77%

Source: Company reports, H&P estimates.

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